

Contract Title:**WSNC Medical Gases, Fills, and Oxygen Cylinder Rentals Contract****Statement of need:**

Department of Veterans Affairs, Western States Network Consortium (WSNC) has identified a necessity for a consolidated Medical Gases, Fills, and Oxygen Cylinder Rentals contract agreement to efficiently meet the needs of VISN 17,19,20,21,22 and VA network facilities for Medical Gases supply and Oxygen Cylinder rentals.

Objective:

Provides safe, reliable and compliant outsourced Medical Gases, Fills, and Oxygen Cylinder Rentals products that shall ensure uninterrupted patient care to all VA Healthcare facilities under Western States Network Consortium (WSNC) to include Five (5) Veterans Integrated System Networks (VISN) and their respective facilities and Clinics.

Background:

Medical gases and Oxygen Cylinders play a critical role in improving and sustaining Patient care within VA Healthcare system. At VA facilities these gases are essential for supporting wide range of clinical services, including emergency care, respiratory therapy surgery, intensive care long term care and home-based medical support for veterans with chronic respiratory conditions.

Based on standards identified and regulating the usage of Medical Gases and Oxygen Cylinder rentals, VHA Directive 7515, all VA facilities must comply with Safety, design, maintenance and operational standards for medical gases and Oxygen Cylinders.

Currently VA Healthcare facilities under WSNC have developed either their own medical gases and bulk Oxygen contracts or they are using VISN level active contracts.

The WSNC Board of Directors recommends an efficient approach aiming to consolidate multiple medical gases and bulk Oxygen rental contracts into one single award through a streamline procurement process. This will allow contracting and program staff to focus on mission-critical tasks rather than managing several vendors, invoices, renewals and compliance reviews.

1. SCOPE

1.1. The Veterans Health Administration (VHA), Veterans Integrated System Networks VISN 17,19,20,21,22 require a Contractor to provide medical gases for each of the estimated Five (5) Veterans Integrated System Networks and their respective facilities and Clinics.

Administration Medical Center (VAMC) facilities, their respective clinics, and off-site locations located within the WSNC region. The Contractor shall be responsible for providing, filling, transporting, handling, servicing, maintaining, delivering, picking up and storing medical gases and cylinders

for all facilities located in Attachment A – Facility Locations.

1.2. Service Descriptions

- All equipment and materials required to perform on the contract shall be provided by the Contractor except for any government-furnished cylinders a VAMC may choose to use.
- Contractor shall provide the VA access to an on-line, customer-facing, web application which allows VA staff to place orders, search for documents by name and ID number, and view and download the following: order confirmations, scheduled delivery dates, order history, create shopping carts for future purchases, check the in-stock status of products needed, Proof Of Delivery (POD)/delivery tickets, cylinder audit results/forms, current/past cylinder balances, current available product lists, tutorials on how to use the site, and paid/unpaid invoices. This application shall be accessible on the internet, and we shall not have any contact with the VA information system.

- Any medical gases provided through this contract shall meet or exceed the standards cited in the current edition of the United States Pharmacopoeia/National Formulary (USP).
- The list and locations of facilities of WSNC that are covered in this contract are shown in Attachment A - Facility Locations. The number and location of facilities located within WSNC may change based on the Government's need to provide health care to Veterans.
- The quantities for each Line-Item Number (LIN) in the solicitation are estimates only.

There is no expressed or implied guarantee that these quantities will be purchased. The actual quantities ordered by the facilities will vary based on the medical needs of each facility.

Quantities may increase or decrease based on the volume of Veterans and their medical needs. The contract shall be for the actual quantities as ordered by each VA facility.

2. LICENSING, AUTHORIZATION, AND SELLING PERMISSIONS

2.1. If the Contractor is the manufacturer of the medical gases it places into the medical gas cylinders being supplied under this contract, it shall provide verification on an annual basis, that it holds current licensing, permits, certifications, or registrations required by the FDA and the states in which this contract is performed. If the Contractor is not the manufacturer the Contractor shall compile this documentation from the manufacturer and provide it to the VA.

2.2. If the Contractor is not the manufacturer of the medical gases that are placed into medical gas cylinders being supplied under this contract, the Contractor shall provide a fully signed and executed copy of the reseller's agreement, exclusively referencing the awarded Contract by contract number, within ten (10) calendar days of contract award. The resellers agreement shall affirmatively demonstrate that the Contractor has authorization by the manufacturer to resell the medical gas and to rent the medical gas cylinders that the Contractor is providing under this contract. In addition, the Contractor shall provide annual updates to any agreements it has with the medical gas manufacturer and medical gas cylinder provider affirmatively demonstrating that the Contractor has authorization by the manufacturer to resell the medical gas and to rent the

medical gas cylinders that the Contractor is providing under this contract. In the event of a change in the manufacturer, the Contractor shall provide a minimum of 30 days advance notification, or at the time it is known, to VA of the change in manufacturer, and shall provide evidence of the new medical gas manufacturer's current licenses, permits, certifications, or registrations required by the FDA and the states in which this contract is performed. The Contractor shall also provide a copy of its signed agreement with the new manufacturer demonstrating that the Contractor has authorization by the manufacturer to resell the medical gases and to rent the medical gas cylinders that the Contractor intends to provide under this contract.

2.3. Throughout the term of this contract, Contractor shall maintain all federal, state, and local licenses applicable to the Contractor, as well as any required FDA certifications.

3. LIABILITY INSURANCE REQUIREMENTS

3.1. The Contractor is required to maintain liability insurance in the amount of \$1,000,000.00 per occurrence. The Certificate of Liability must be provided at time of contract award and annually via email to the CO.

4. MEDICAL GAS SPECIFICATION AND REQUIREMENTS

4.1. All medical gases provided in this contract shall be medical grade and shall comply with all applicable FDA, CGA, DOT, and all other federal, state, and local acts, regulations, codes, and standards in regard to their manufacture, testing, transportation, shipping, and packaging. The Contractor shall comply with the most current and updated version of these codes and standards for the entire period of performance of this contract.

4.2. Material Safety Data Sheets (MSDS) shall be provided to the facility COR electronically via e-mail or through access to an external website upon request at no additional charge within 24 hours of the VA request. Contractor shall, at the request of the VA, provide training on procedures associated with safety data and maintaining medical gas cylinders while at VA facilities.

5. CYLINDERS AND ASSOCIATED COMPONENTS LAWS AND REGULATIONS

5.1. Cylinders, tanks, valves and other containers for gaseous and liquid forms of gas provided on this contract shall comply with all applicable FDA, CGA, DOT, and all other federal, state, and local acts, regulations, codes and standards in regard to the manufacture, maintenance, filling, marking, labeling, transportation, shipping, packaging, color-coding, valves, valve protection caps, valve brazing, cylinder fittings, hydrostatic cylinder testing, inspections, visual inspection, and 360 degree cryoband placement. The Contractor shall comply with the most current and updated version of these codes and standards for the entire period of performance of this contract.

5.2. Cylinder sizes, shown in the chart below, indicate product capacity of the cylinder(s) currently being used. All capacities are approximate, and the government shall be billed only for the actual amount of gas delivered. In accordance with the most current Federal Food, Drug, and Cosmetic Act codes, including any subsequent updates during the contract's performance period, the actual contents of the container must appear on the label.

Cylinder Size:

Size Outer Diameter (inches) Height (inches)

B 3 5/16 – 3 1/2 13 – 13 1/4

C 3 1/2 8

D 4 3/16 – 4 1/2 16 3/4 - 19

E 4 3/16 – 4 1/2 24 3/4 - 30

F 4 1/4 17

5.3. E-Sized oxygen cylinder – fixed regulator system requirements: One version of steel and one version of lightweight aluminum construction with all of the following features:

- Easy-to-carry wide permanent handle to make it easy to lift
- Adjustable high flow and low flow regulators capable of a range from 0.25 LPM minimum to 25 LPM
- A Diameter Index Safety System (DISS) 50 PSI fitting for transport ventilator hook-up
- Magnetic resonance imaging (MRI) compatibility for the lightweight aluminum version
- Easy to read contents gauge
- Utilizes single-stage valves only.

5.4. Cylinders shall be filled to the maximum manufacturer's recommended level during each refilling procedure unless a lesser amount is specified in the facility requirements or as agreed upon in a written document signed and dated by the CO.

5.5. Density data and volume measurement equivalents printed in CGA Publication P-6 – Standard Density Data, Atmospheric Gases and Hydrogen, dated October 2012, shall be used when necessary to convert measurement of these gases from one form to another; for example, from cubic feet to gallons <https://www.cganet.com/>.

5.6. All transportation charges for empty GFE cylinders and contractor-provided cylinders shall be at the expense of the Contractor and shall be transported using normal commercial practice to prevent damage to cylinders.

6. GOVERNMENT FURNISHED EQUIPMENT (GFE) - MEDICAL GAS CYLINDERS

6.1 Upon award of the contract the VA will inform the Contractor the number of GFE cylinders the Contractor will take to maintain its inventory to account for approximately 30 days of usage for each particular gas for which the VA utilizes GFE cylinders. All GFE cylinders will be labeled with a unique cylinder identifier, colored, and tagged by the VA for identification and tracking purposes. The Contractor shall pick up the cylinders within two weeks after the Contract beginning date and store them securely at their facility to avoid mixing them in with the contractor-owned cylinders being processed.

G 8 ½ 51 – 51 ¾

H 9 – 9 1/4 51

J 9 – 9 1/4 51 – 55

K 9 56

M 7 43

Q 7 – 7 ½ 32 – 49

S 7 ¼ - 7 ½ 46

T 9 ¼ - 10 55 - 61

230 LT

Nitrogen (on wheels)

26" 57"

100 LT

Helium

24" 59"

6.2 The VA Facility will assemble empty GFE cylinders in a designated pickup area and the OO will issue a delivery order for each type of gas needed in quantities equal to the number of empty GFE cylinders of each type of gas and send it to the Contractor following the process in section 9 of this SOW.

The contractor shall fulfill the order and exchange each empty GFE medical gas cylinder with a full GFE medical gas cylinder of the same type of gas as indicated in the Delivery Order at the prices listed in Attachment B - Schedule of Items.

6.3. If the VA facility chooses not to have the Contractor maintain an inventory of GFE cylinders at the Contractor's location, or if the Contractor is unable to store this inventory for a particular facility, the VA Facility will possess enough GFE cylinders to allow for the Contractor to refill and deliver the exact GFE cylinder's that were picked up empty within a 3-week period from the pickup of said cylinders. Contractor shall not substitute other cylinders for GFE cylinders and shall return the exact GFE cylinders according to their numbers and markings.

6.4. The Contractor shall pick up GFE medical gas cylinders. These cylinders shall be inspected by the Contractor and filled to the maximum functional capacity during each refilling procedure. Empty Government-owned cylinders that are picked up by the Contractor from an ordering facility for re-fill or servicing must be transported according to the DOT regulations, using normal commercial practices to prevent damage to cylinders.

6.5. Contractor shall provide current inventory levels of GFE cylinders at Contractor's facilities, as well as accurate GFE cylinder counts for both pickup and delivery upon each delivery. If the Contractor delivers fewer GFE cylinders than is ordered, then the Contractor shall annotate all backordered/undelivered GFE cylinders on the delivery slip.

6.6. The VA Facility will monitor the receiving and pickup record of the GFE cylinders and will conduct a review to be shared with the Contractor on an annual basis at minimum, or more frequently if the COR determines it to be necessary. The review of this record will be used by the VA to determine the number of GFE cylinders the Contractor should have at Contractor's facilities.

The Contractor shall certify that the GFE cylinders shown to be in their possession, are accounted for and are accessible to fill orders. The Contractor shall pay for any lost or damaged GFE cylinders at the agreed upon rates identified on Attachment B- Schedule of Items within 30 days of the confirmation of the lost or damaged cylinders.

6.7. The final quantity of GFE cylinders lost will be determined at the end of the contract based on what quantities and types of cylinders the Contractor is unable to return. Final payment for lost or damaged cylinders shall be made within 30 days of the end of the contract.

6.8. If any GFE cylinders are found not to meet compliance the Contractor shall inform the COR and OO both in writing and by telephone to give them the opportunity to revise the order. The Contractor shall return the non-compliant GFE cylinders back to the ordering facility on the next delivery at no additional cost to VA with documentation and clear marking on the GFE cylinders to label it defective.

6.9. GFE cylinders must remain the property of the individual facility for which the order was placed. GFE cylinders are not exchangeable for other GFE cylinders from different VA facilities. Contractor shall fill and return GFE cylinders to the specific ordering facility for which the order was placed.

6.10. Contractor shall determine the need for hydrostatic testing based on the date code on the GFE cylinder and shall perform said testing for the price indicated in the LIN on this contract. The Contractor shall return any non-compliant GFE cylinders back to the ordering facility on the next delivery at no additional cost to the VA with documentation and clear marking on the GFE to label it defective and the cause of the failure. The Contractor shall proceed to fill all compliant GFE cylinders and deliver them per normal procedure.

7. CONTRACTOR-PROVIDED MEDICAL CYLINDERS

7.1. Contractor shall provide and maintain cylinders/tanks. For the duration of the contract, the Contractor is liable for the integrity, suitability, safety, maintenance, inspections, and cylinder tracking of contractor-provided cylinder(s). The Contractor shall ensure all cylinders comply with applicable regulations and standards.

7.2. Contractor-provided cylinders shall be kept in good operating condition and appearance (i.e., clean, rust free, labeled) and be in accordance with applicable regulations and standards by the Contractor and at the Contractor's expense. Each station shall provide the Contractor

reasonable access to the facilities for this purpose. Contractor shall provide documentation of all safety testing of contractor-provided medical cylinders, including cylinder hydrostatic testing, to the VA upon their request at no additional charge.

7.3. All VISNs (17,19,20,21,22) and their facilities have the right to refuse dirty cylinders or cylinders that do not meet applicable regulations and standards. The Contractor must replace rejected cylinders within 24 hours at no additional cost to the government.

7.4. The Contractor shall provide training to VA staff upon request at no additional cost to the Government. The training shall ensure that VA employees are proficient and able to safely operate medical gas cylinders and any included appurtenances in the event of equipment change, technology upgrades and/or any new system/manufacturer specification change.

7.5. Monthly rental charges:

7.5.1. Upon the delivery of contractor-provided cylinders, monthly rental rates shall apply to those cylinders in the calendar month of delivery and shall be subject to verification of receipt by the VA facility. Upon the pickup of emptied contractor-provided cylinders, as noted on the delivery slip by the Contractor's delivery driver, the rental charges shall cease as of the end of the calendar month in which the empty cylinders were picked up.

7.5.2. If the contractor-provided cylinders have bar codes and the Contractor, or subcontractor, has a system in place for bar code scanning/tracking then all contractors provided cylinders shall be scanned and tracked by the Contractor or their subcontractor during delivery, pick-up, and cylinder audits. This service shall be done at no additional cost to the Government and this data, in its original form, shall be made available to the VA upon request.

7.5.3. The Contractor shall track the number of contractor-provided cylinders on hand at each facility and shall take note of the beginning balance for cylinders on hand at each facility at the beginning of each rental period. Each monthly rental period shall begin on the first day of the calendar month and shall end on the last day of the calendar month. The Contractor shall adjust the inventory counts for each type of cylinder based on each delivery and pickup throughout the rental period. Contractor shall take note of the ending balance at the end of each rental period and assess the monthly charges for that rental period based on that ending balance. Rental pricing shall be assessed using the LIN prices for monthly rental of cylinders, which can be found in Attachment B-Schedule of Items. Documentation of this tracking of cylinders shall be e-mailed to the COR and shall be made accessible through the on-line, customer-facing, web application.

7.5.4. The Contractor shall provide through e-mail and the on-line, customer-facing, web application, within ten (10) business days after the end of the rental period, a monthly summary for each delivery location (sub-accounts) to the individual facility COR(s) showing the following:

- Beginning balance for the rental period
- Cylinders delivered by date
- Cylinders picked up by date
- Ending balance for the rental period

7.5.5. The VA COR will verify the number based on the delivery slips for the rental period and will address any inconsistencies, errors, or omissions and seek to rectify them with the Contractor. The VA COR shall insure the accuracy of invoicing based on the verified number of rental charges reported on the VA COR verified monthly summary.

7.5.6. The VA facility and the Contractor shall perform at a minimum, an annual, on-site inventory, of all contractor-provided cylinders to verify the accuracy of the end-of-month balance of rental cylinders on the most recent invoice (see Section 13).

7.5.7. Outside of normal pickup/deliveries, no rental charges shall be applied to any cylinder five business days (Saturdays, Sundays, holidays excluded) after the ordering

facility has notified the Contractor that said cylinders are ready to be picked up. The day the Contractor is notified is excluded from the five-day period. If the Contractor is verbally notified of empty cylinders, the ordering facility will document the notification by making a record of the date, time, and Contractor's representative contacted.

8. TRANSITION / IMPLEMENTATION OF CONTRACTOR-PROVIDED MEDICAL GAS CYLINDERS

8.1. The Contractor shall provide an orientation meeting and training for each of the facilities listed in Attachment B– Facility Locations. The information covered in the orientation meeting shall include but is not limited to delivery process, ordering process, and Contractor point of contacts.

8.2. Phase-in:

8.2.1. In the event that the awardee of this contract is not the incumbent Contractor, or that the medical gas cylinders and appurtenances furnished by the awardee are not the property of the incumbent Contractor, the incoming Contractor shall work with the VA and incumbent Contractor during the phase-in transition period so it can be accomplished without disruption in supplies and services. Beginning on the effective date of the contract and subject to the establishing of OOs facilities will begin placing orders for the medical gases listed on this contract. As the outgoing Contractor's cylinders are collected, they must be stored apart from the incoming Contractor's cylinders so as not to encourage the pickup of returned cylinders by the incorrect Contractor.

8.2.2. In the event that the awardee is the incumbent Contractor, or that the medical gas cylinders and appurtenances furnished by the awardee are the property of the incumbent Contractor, Loss of Use (LOU) quantities shall not be carried forward into the rental balances of this Contract. Final LOU amounts shall be verified and paid as part of the closeout process of the previous contract. Beginning balances for this contract shall be determined by the on-hand quantities of cylinders from the previous contract final cylinder audit.

8.3. Phase-out:

8.3.1 In the event that the subsequent contractor will not be using cylinders owned by the current Contractor or sub-contractor, all rental charges shall continue at the last listed price per cylinder type while the VA returns all cylinders to the Contractor. The VA and the Contractor will count all cylinders that are returned and compare them to the outstanding rental cylinders. Once the VA determines there are no more of the Contractor's cylinders present, the final LOU will be determined by comparing all returned cylinders to the last rental statement balances, factoring in any Positive Variance found.

8.3.2. In the event that the subsequent contractor is using the cylinders owned by the current Contractor or sub-contractor, The Contractor and the VA shall conduct a Cylinder audit, IAW section 13, to determine the final LOU, accounting for both negative and positive variance, on this contract. Final LOU amounts shall be paid as part of the contract closeout process and LOU quantities shall not be carried forward into the rental amounts of any new contract.

9. ORDERING PROCESSES

9.1. OOs and COs shall be authorized to place orders against this contract through the on-line, customer-facing, web application for the VA facilities located in VISNs 17,19,20,21,22 . The use of OOs will be the primary method used to place orders. Delivery orders may be issued by the CO if needed.

9.2. The CO will furnish the contractor with the names of individuals delegated OO authority by separate letter upon issuance of the contract or agreement. When COs appoint OOs after award, the CO will furnish the contractor with an updated list of individual OOs authorized to place orders against the contract or agreement. OOs may not negotiate contract terms and conditions, determine price reasonableness, or determine best value. OOs are responsible for issuing and administering orders placed under the contract or agreement identified in the appointment letter. OOs do not have the authority to modify any of the terms and conditions in the contract or agreement. The CO must approve any changes in or deviations from the terms and conditions of the contract or agreement in writing prior to placing orders invoking those terms and conditions. The contractor must accept orders against the contract or agreement only from the CO or authorized OOs and fulfilling orders from persons other than the CO or OO may result in an unauthorized commitment. Orders will be placed via Electronic Data Interchange (EDI) if possible. If the vendor cannot set up EDI, specific ordering procedures will be modified into the contract after award.

9.3. In the event that orders are issued by electronic means i.e., email, telephone, facsimile, Electronic Data Interchange (EDI), or a Contractor-provided, internet based, software interface which has no contact with any VA Information Systems, the CO and authorized OOs will utilize the LIN structure outlined in the Schedule of Items identified in the awarded contract. OOs will place orders based on facility needs on any day of the monthly billing period. Contractor shall acknowledge receipt of order within two (2) hours of order placement and deliver the order according to the parameters set forth in Section 10 of this SOW.

9.4. Orders placed without the use of EDI ordering processes shall be placed via delivery order using an agreed upon form established by the Contractor and the Government. Orders shall contain at a minimum the following information:

- Date of Order
- Company Name (Contractor)
- Contract number
- VA Facility Name
- VA Facility Purchase Order (PO) number
- Line Item Number (LIN)
- Item Description
- Manufacturer's part number (if applicable)
- Quantity Ordered
- Unit Price
- Total Amount
- Place of Delivery

9.5. When specified by a facility that orders are to be placed/accepted via the Electronic Data Interchange (EDI) ordering option, the following shall apply:

9.5.1. Fill/Call: value added option that allows facilities to either have an unfilled order or a portion of an unfilled order either killed (cancelled) or allow the undelivered items to be backordered. Contractor must first call facilities and obtain a decision.

9.5.2. Fill/Kill: an order or a portion of an order cancelled (killed) due to the non-shipment of products from the Contractor to the customer by the required delivery order date unless the ordering facility has previously approved the delivery of a substitute product.

9.5.3. EDI Order Confirmation (Applicable to VA facilities only): in the case where VA facilities submit orders through EDI, the Contractor shall generate EDI order confirmation

to ordering facilities within two (2) hours after transmission of EDI orders. An alternate communications method allowing for the transfer of EDI data directly to the site is also available utilizing the Applicability Statement 2 (AS2) secure internet data transfer protocol.

9.5.4. Confirmation Content: all unfilled or partially filled purchase order line items from the Contractor shall be listed on the order. Facilities shall be able to print the confirmation. At a minimum, the order confirmation shall include the following information:

- VA Facility Name
- VA Facility Purchase Order Number
- Federal Government Product Contractor Item Number (LIN)
- Manufacturer's part number
- Item Description
- Unit of Purchase
- Quantity Ordered
- Quantity Confirmed and to be delivered
- Status of non-confirmed or backordered line item(s)/Quantities to include their estimated time of arrival
- Note for Pre-approved Product Substitution (yes/no)
- Line Item Unit of Purchase Price
- Line Item Price
- Total Cost of Order
- Identification of Cancelled Gases

9.6. In the event the Contractor is unable to provide the LIN ordered, they may propose a substitute item that is on the contract. The Contractor shall contact the COR or the OO by telephone and give details of the proposed substitution. VA shall evaluate the clinical compliance of the proposed substitution and the COR or OO shall advise the Contractor if it is acceptable or not acceptable. If the proposed substitution is found to be acceptable by VA and is listed on the contract, the OO may authorize the substitution.

9.7. If the Contractor proposes a substitution with a product that is not listed on the contract, the VA facility shall contact the CO to request a modification to the contract. In the event the facility cannot wait for the contract to be modified they will proceed with the open market purchase of the facility-approved substitution by Government Purchase Card, or by a CO if it exceeds the Micro purchase Threshold. The substitution shall be in compliance with all federal, state, and local regulations, codes, and standards and shall not in any way cause detriment of care to VA patient(s). Contractor shall provide training on all substitute items at the request of VA at no additional charge.

9.8. The VA shall, at its discretion, be able to place emergency orders to the Contractor. These orders shall be placed by the OO via e-mail and the on-line, customer-facing, web application, to a POC designated by the Contractor, with the normal documentation and a telephone follow-up confirmation call. Emergency orders shall be delivered within 24 hours after being placed, including after business hours, on both weekdays and weekends, as needed. Emergency orders will be subject to the emergency delivery LIN on Attachment B -Schedule of Items.

9.9. The Contractor shall designate the points of contact i.e., email, fax, and/or phone number(s) for emergencies, to which all orders will be sent. The Contractor is required to have the capability to receive, manage, and fulfill manual orders in instances where there are power outages, security breaches, or other electronic systems issues.

9.10. Confirmation of order entry by the Contractor: the Contractor shall respond to the facility, other than EDI transmission, by e-mail notification and through the on-line, customer-facing, web application, within twenty-four (24) hours after receipt of order for non-emergency delivery orders. If a delivery order is placed on a Friday, the delivery confirmation shall be the following

Monday. If the following Monday falls on a federal holiday, then the delivery confirmation shall be Tuesday (the day following the federal holiday).

10. DELIVERY REQUIREMENTS

10.1. The following information applies to all deliveries, regardless of the time or day of execution.

10.2. The Contractor is required to provide a legible signed and/or electronic delivery slip/ticket that has been signed and dated by the delivery driver, as well as countersigned by the VA facility representative supervising the delivery.

10.3. Upon delivery, the delivery driver and VA facility representative will conduct a cylinder count of all cylinders being delivered and all cylinders being picked up. Both cylinder counts will be noted on the delivery slip/ticket or electronic delivery slip with the delivery date and delivery driver ID. The delivery slip shall be signed by both the VA facility representative and delivery driver. A copy of the delivery slip shall be left with the VA facility representative and must be made accessible through the on-line, customer-facing, web application.

10.3.1. The delivery slip/ticket for GFE cylinders must include:

- The number of cylinders at the Contractor's facility prior to delivery
- The number of cylinders being delivered
- The number of cylinders being picked up
- Any discrepancies with the number of cylinders being delivered or picked up with the quantities listed on the delivery order will be identified and documented on the delivery slip of GFE cylinders

10.3.2. The delivery slip/ticket for contractor-provided cylinders must include:

- Contract Number, Facility PO Number or Delivery Order number
- Account number for the specific delivery location
- Date of Order
- Date of Delivery
- Line Item Number(s) and/or product identification number(s)
- Quantity of each gas and/or cylinder ordered
- Items ordered and not delivered/backordered
- The number and type of cylinders being delivered
- The number and type of cylinders being picked up

10.4. Contractor shall provide access to a copy of the signed delivery slip to the COR through the on-line, customer-facing, web application.

10.5. All orders shall be delivered in accordance with the delivery parameters set for at each location found in Attachment A– Facility Locations. The Contractor shall ensure that each facility receives their orders on the specified delivery dates. If a delivery will be made outside the specified delivery dates the Contractor shall notify the facility OO and COR.

10.6. Backorder Notification for any affected LIN shall be immediately provided to each facility COR or designated POC when back order is known via telephone, e-mail, and on-line, customer-facing, web application. Contractor shall provide estimated lead time for the medical gas and provide details of the shortage in the marketplace. Each week the back order is not filled, a status update shall be provided to the COR or designated POC via e-mail.

10.7. The Government retains the right to investigate the circumstances of a backorder to determine the cause of the backorder.

10.8. Cancellation of the backorder, or the excessive occurrence of backorders, by the Contractor is considered a failure to perform and may be considered grounds for adverse action by the CO.

10.9. All deliveries and pick-ups shall be made in accordance with each state's Department of Transportation (DOT) regulations, using normal commercial practices to prevent damage to cylinders.

10.10. Non-emergency delivery of medical gases shall be completed between the hours of 8:00 AM to 4:00 PM local time, Monday through Friday, excluding federal holidays unless otherwise specified in Attachment B– Facility Locations for each delivery location.

10.11. The following holidays are observed by the Federal Government:

- New Year's Day
- Martin Luther King's Birthday (3rd Monday in January)
- Presidents Day (3rd Monday in February)
- Memorial Day (last Monday in May)
- Juneteenth (June 19)
- Independence Day (July 4th)
- Labor Day (1st Monday in September)
- Columbus Day (2nd Monday in October)
- Veterans Day (November 11th)
- Thanksgiving Day
- Christmas Day
- Any day specifically declared by the President of the United States to be a national holiday.

Note: if the holiday falls on a Saturday, it shall be officially observed on the Friday before the holiday. If the holiday falls on a Sunday, it shall be officially observed on the Monday following the holiday.

10.12. Routine orders shall be accepted by the Contractor until 1:00 PM, local facility time, the day before the required delivery day shown on Attachment A– Facility Locations.

10.13. The prices listed on Attachment B - Schedule of Items shall be all-inclusive prices. All transportation charges for delivering/picking up cylinders shall be included in the price of the medical gas. Additional charges such as delivery fees, hazardous material fees, fuel surcharges, cylinder tracking fees, etc., shall NOT be billed to, or collected from, the facilities for orders received under this contract.

10.14. Emergency deliveries shall be delivered within twenty-four (24) hours after being placed, including weekends and Holidays. Emergency status is determined by the Government. Failure of the Contractor to remain current with the agreed delivery schedule and requirements does not constitute an “emergency” for purposes of charging an emergency delivery fee.

10.15. If the Contractor is not the manufacturer the emergency delivery fee can not exceed 10% of the manufacturer’s fee for emergency deliveries. The Contractor shall provide the invoice from the manufacturer upon request from the VA.

11. EMERGENCY DELIVERY REQUIREMENTS

11.1. In the event of a declared National, State, or Local emergency which negatively impacts the Contractor’s ability to perform, the Contractor shall work with the appropriate authorities to allow the selection of alternate delivery routes, alternate distribution points, and other methods of delivery that can be used to ensure timely delivery. Contractor shall notify the CO and the impacted facility, within 24 hours of the declared emergency, of the measures they are taking to make said deliveries.

12. PRICE OF SERVICES FOR GOVERNMENT-OWNED/CONTRACTOR-PROVIDED CYLINDERS

12.1. All prices in Attachment B– Schedule of Items shall be an all-inclusive price. Prices shall include delivery, taxes, fees, maintenance, storage, tracking, testing of contractor-provided cylinders and all required services needed at each cylinder filling, to comply with applicable regulations and specifications. Such services shall include but are not limited to: tags indicating cylinders as “Full”, “In Use”, or “Empty”; inspection; testing and evaluation required at each filling; pin-indexing (when required); and attachment of government-furnished warning tags (when required).

12.2. The Contractor shall ensure all cylinders are clean, free from dirt/rust, and in acceptable condition for use for both inpatient/outpatient Health Care Environments.

13. CYLINDER INVENTORY AUDITS

13.1. The COR or Facility POC will conduct, at a minimum, an annual inventory of Contractor owned

cylinders to reconcile the number of cylinders on hand in comparison to the number of cylinders listed on the rental statement.

13.2. The annual cylinder inventory audits shall occur for each main VA facility, within 45 calendar days after the end of an ordering period, including the final ordering period and end of the contract. The Contractor shall provide the signed audit results directly to the CO and the facility personnel. This documentation shall also be available on the on-line, customer-facing, web application.

13.3. If the contractor-provided cylinders have bar codes and the Contractor, or subcontractor, has a system in place for bar code scanning/tracking then all contractor-provided cylinders shall be scanned and tracked by the Contractor during the audits. This service shall be done at no additional cost to the Government and this data, in its original form, shall be made available to the VA upon request.

13.4. Cylinder inventory audits, conducted annually, at each of the main VA facilities, generally require a minimum of one day with at least one Contractor representative present while the audit is conducted. The main VA facilities are denoted with an "X" in the column titled "Annual Cylinder Audit Required" on Attachment-B– Facility Locations.

13.5. Contractor representative(s) must be present until the audit has been completed in its entirety. The COR or facility POC will only sign completed audits that are mutually agreed upon. Audits may be performed outside of normal business hours if the VA deems it necessary.

13.6. Remote locations listed in Attachment-B– Facility Locations shall conduct their own internal audit and submit the results of their annual cylinder inventory audit to the Contractor.

13.7. The Contractor shall calculate LOU quantity for the cylinders and the LOU cost of the cylinders by the cylinder category size as indicated in the corresponding LINs in Attachment D.1- Schedule of Items, taking into account both Positive and Negative variances. The Contractor shall provide the LOU invoice within 15 days of the completion of each cylinder audit via e-mail and the on-line, customer-facing, web application.

13.8. The total number of cylinders located during the inventory audit, including all positive and negative variance, shall be the beginning balance for the next month rental period directly following the performance of the cylinder audit.

13.9. Each facility must approve the final amount/number of missing/damaged cylinders (LOU). If discrepancies ensue, the Contractor shall return to the facility at a mutually agreed upon date to redo the audit at the price indicated for the LIN on the Attachment B -Schedule of Items for additional audits. If the facility is unable to reschedule within 90 days after the discrepancy is identified, the facility must honor the audit findings.

13.10. The annual audits will be conducted at no charge to the government. The Contractor shall coordinate the taking of this inventory with the VA at a mutually agreed upon date and time. The VA is responsible for obtaining access to all pertinent areas for the purpose of counting existing contractor-provided cylinders at the specific VA facility.

13.11. The VA COR or designee will verify that the LOU amounts are consistent with the differences found between the monthly rental statement for the closest date to the cylinder audit and the cylinder audit itself and will approve the payment of the LOU invoice. The COR will ensure payment of the approved LOU invoice occurs in accordance with the Prompt Payment Act. If the VA finds discrepancies with the invoice prior to its payment, they will contest its validity in writing to the Contractor.

13.12. If the awardee is not the manufacturer, their audit system will closely align with the manufacturer's process

14. REPORTS

14.1. Contractor shall provide the VA access to an on-line, customer-facing, web application which allows VA staff to place orders and to view and download order confirmations, POD's/delivery tickets, cylinder audits, current cylinder inventory levels, and paid and unpaid invoices. This application shall be accessible on the internet and shall not have any contact with the VA information system. Secure logins shall be given to each COR, each OO, and all other VA staff designated by the CO. The CO will send a list of all names to the Contractor with names of VA staff who, in addition to the COR's and OO's, shall have logins to the application. The list will be subject to additions and deletions throughout the term of the contract.

14.2. Each facility shall be able to view all orders, order confirmations, POD's/delivery tickets, cylinder audits, both paid and unpaid invoices, and all other documents pertinent to the performance of the contract through this on-line, customer-facing, web application. All documents contained therein must be accessible and downloadable by the VA for the entire period of performance and until the contract is completely closed out, to allow inclusion into the VA official record keeping software.

14.3. Contractor shall provide initial training on the use of the on-line, customer-facing, web application for all new VA users within 20 days of award and throughout the period of performance. Contractor shall provide operational support for all VA users throughout the term of the contract.

14.4. Contractor shall submit reports quarterly to the contracting officer detailing utilization rates of services by line item and facility.

15. INVOICES

15.1. No advance payments shall be authorized. Rentals shall be invoiced and paid on a monthly basis in arrears, and in accordance with the Prompt Payment ACT. Invoices shall be submitted both proper and timely. A proper invoice shall include:

- Name and address of contractor
 - Facility's name and address where supply was delivered
 - Invoice date and invoice number
 - Contract number and Purchase Order (PO) number
 - Contract Line Item Number (LIN)(s)
 - Description, quantity, unit of measure, unit price and extended price (total price) of item(s) ordered
 - Name and address of authorized official to whom payment is to be sent
 - Name, title, phone number, email of person to be notified if invoice is defective
- 15.2. LINs listed on the invoice shall correspond directly to the LINs on the referenced Purchase Order/Delivery Order, and shall match the description, quantity, and pricing of the ordered LINs. Invoices not submitted correctly will be short paid as appropriate or will be denied payment until the incorrect information on the invoice is revised in accordance with this section of the SOW, and the invoice is resubmitted for payment.

16. CONTRACTOR PERSONNEL

16.1. The Contractor shall provide one (1) representative that shall act as the primary liaison between the facilities and the Contractor.

16.2. The representative shall be available regardless of ordering method. No later than 20 days after contract start date, VA shall be provided with a list of liaisons serving the facilities covered under this contract. The contact list shall include name, phone, and email.

16.3. The name of the person shall be designated in writing to the CO. The Contractor's liaison shall have full authority to act for the Contractor on all matters related to:

- Daily operations of the contract
- Assisting in resolving invoice issues
- Assisting in resolving delivery issues
- Serving as the point of contact for arranging annual cylinder audits

17. CONDUCT OF CONTRACTOR PERSONNEL

17.1. Contractor employees shall conduct themselves in a socially acceptable manner. Loudness, vulgarity, rudeness, or other similar offensive conduct by an employee of the Contractor will be grounds for denying the employee further access to the VA premises.

17.2. Contractor employees shall always wear visible identification while on the premises of the VA medical facility, warehouse, CBOC, etc.

18. INFORMATION SHARING

18.1. If the Contractor uses a subcontractor for any services under this contract and the subcontractor tracks any information or data while conducting any services then that information or data shall be shared with the VA in its original form. This information or data includes but is not limited to cylinder delivery data, cylinder pick-up data, cylinder on hand quantities for specific VA facilities, and cylinder audit results.

18.3. This information or data shall be shared at any time upon request by the VA.

18.2. If the information or data contains any pricing information, then that information may be redacted.

Information Technology Security requirements section

As prescribed in 839.201, insert the following clause:

The contractor, their personnel, and their subcontractors shall be subject to the Federal laws, regulations, standards, and VA Directives and Handbooks regarding information and information system security as delineated in this contract.

1. GENERAL

Contractors, contractor personnel, subcontractors, and subcontractor personnel shall be subject to the same Federal laws, regulations, standards, and VA Directives and Handbooks as VA and VA personnel regarding information and information system security.

2. ACCESS TO VA INFORMATION AND VA INFORMATION SYSTEMS

a. A contractor/subcontractor shall request logical (technical) or physical access to VA information and VA information systems for their employees, subcontractors, and affiliates only to the extent necessary to perform the services specified in the contract, agreement, or task order.

b. All contractors, subcontractors, and third-party servicers and associates working with VA information are subject to the same investigative requirements as those of VA appointees or employees who have access to the same types of information. The level and process of background security investigations for contractors must be in accordance with VA Directive and Handbook 0710, Personnel Suitability and Security Program. The Office for Operations, Security, and Preparedness is responsible for these policies and procedures.

c. Contract personnel who require access to national security programs must have a valid security clearance. National Industrial Security Program (NISP) was established by Executive Order 12829 to ensure that cleared U.S. defense industry contract personnel safeguard the classified information in their possession while performing work on contracts, programs, bids, or research and development efforts. The Department of Veterans Affairs does not have a Memorandum of Agreement with Defense Security Service (DSS). Verification of a Security

Clearance must be processed through the Special Security Officer located in the Planning and National Security Service within the Office of Operations, Security, and Preparedness.

- d. Custom software development and outsourced operations must be located in the U.S. to the maximum extent practical. If such services are proposed to be performed abroad and are not disallowed by other VA policy or mandates, the contractor/subcontractor must state where all non-U.S. services are provided and detail a security plan, deemed to be acceptable by VA, specifically to address mitigation of the resulting problems of communication, control, data protection, and so forth. Location within the U.S. may be an evaluation factor.
- e. The contractor or subcontractor must notify the Contracting Officer immediately when an employee working on a VA system or with access to VA information is reassigned or leaves the contractor or subcontractor's employ. The Contracting Officer must also be notified immediately by the contractor or subcontractor prior to an unfriendly termination.

3. VA INFORMATION CUSTODIAL LANGUAGE

a. Information made available to the contractor or subcontractor by VA for the performance or administration of this contract or information developed by the contractor/subcontractor in performance or administration of the contract shall be used only for those purposes and shall not be used in any other way without the prior written agreement of the VA. This clause expressly limits the contractor/subcontractor's rights to use data as described in Rights in Data - General, FAR 52.227-14(d) (1).

b. VA information should not be co-mingled, if possible, with any other data on the contractors/subcontractor's information systems or media storage systems in order to ensure VA requirements related to data protection and media sanitization can be met. If co-mingling must be allowed to meet the requirements of the business need, the contractor must ensure that VA's information is returned to the VA or destroyed in accordance with VA's sanitization requirements. VA reserves the right to conduct on site inspections of contractor and subcontractor IT resources to ensure data security controls, separation of data and job duties, and destruction/media sanitization procedures are in compliance with VA directive requirements.

c. Prior to termination or completion of this contract, contractor/subcontractor must not destroy information received from VA, or gathered/created by the contractor in the course of performing this contract without prior written approval by the VA. Any data destruction done on behalf of VA by a contractor/subcontractor must be done in accordance with National Archives and Records Administration (NARA) requirements as outlined in VA Directive 6300, Records and Information Management and its Handbook 6300.1 Records Management Procedures, applicable VA Records Control Schedules, and VA Handbook 6500.1, Electronic Media Sanitization. Self-certification by the contractor that the data destruction requirements above have been met must be sent to the VA Contracting Officer within 30 days of termination of the contract.

d. The contractor/subcontractor must receive, gather, store, back up, maintain, use, disclose and dispose of VA information only in compliance with the terms of the contract and applicable Federal and VA information confidentiality and security laws, regulations and policies. If Federal or VA information confidentiality and security laws, regulations and policies become applicable to the VA information or information systems after execution of the contract, or if NIST issues or updates applicable FIPS or Special Publications (SP) after execution of this contract, the parties agree to negotiate in good faith to implement the information confidentiality and security laws, regulations and policies in this contract.

e. The contractor/subcontractor shall not make copies of VA information except as

authorized and necessary to perform the terms of the agreement or to preserve electronic information stored on contractor/subcontractor electronic storage media for restoration in case any electronic equipment or data used by the contractor/subcontractor needs to be restored to an operating state. If copies are made for restoration purposes, after the restoration is complete, the copies must be appropriately destroyed.

f. If VA determines that the contractor has violated any of the information confidentiality, privacy, and security provisions of the contract, it shall be sufficient grounds for VA to withhold payment to the

contractor or third party or terminate the contract for default or terminate for cause under Federal Acquisition Regulation (FAR) part 12.

g. If a VHA contract is terminated for cause, the associated BAA must also be terminated and appropriate actions taken in accordance with VHA Handbook 1600.01, Business Associate Agreements. Absent an agreement to use or disclose protected health information, there is no business associate relationship.

h. The contractor/subcontractor must store, transport, or transmit VA sensitive information in an encrypted form, using VA-approved encryption tools that are, at a minimum, FIPS 140-2 validated.

i. The contractor/subcontractor's firewall and Web services security controls, if applicable, shall meet or exceed VA's minimum requirements. VA Configuration Guidelines are available upon request.

j. Except for uses and disclosures of VA information authorized by this contract for performance of the contract, the contractor/subcontractor may use and disclose VA information only in two other situations: (i) in response to a qualifying order of a court of competent jurisdiction, or (ii) with VA's prior written approval. The contractor/subcontractor must refer all requests for, demands for production of, or inquiries about, VA information and information systems to the VA contracting officer for response.

k. Notwithstanding the provision above, the contractor/subcontractor shall not release VA records protected by Title 38 U.S.C. 5705, confidentiality of medical quality assurance records and/or Title 38 U.S.C. 7332, confidentiality of certain health records pertaining to drug addiction, sickle cell anemia, alcoholism or alcohol abuse, or infection with human immunodeficiency virus. If the contractor/subcontractor is in receipt of a court order or other requests for the above mentioned information, that contractor/subcontractor shall immediately refer such court orders or other requests to the VA contracting officer for response.

l. For service that involves the storage, generating, transmitting, or exchanging of VA sensitive information but does not require C&A or an MOU-ISA for system interconnection, the contractor/subcontractor must complete a Contractor Security Control Assessment (CSCA) on a yearly basis and provide it to the COTR.

GENERAL RULES OF BEHAVIOR

a. Rules of Behavior are part of a comprehensive program to provide complete information security. These rules establish standards of behavior in recognition of the fact that knowledgeable users are the foundation of a successful security program. Users must understand that taking personal responsibility for the security of their computer and the information it contains is an essential part of their job.

b. The following rules apply to all VA contractors. I agree to:

(1) Follow established procedures for requesting, accessing, and closing user accounts and access. I will not request or obtain access beyond what is normally granted to users or by what is outlined in the contract.

(2) Use only systems, software, databases, and data which I am authorized to use, including any copyright restrictions.

(3) I will not use other equipment (OE) (non-contractor owned) for the storage, transfer,

or processing of VA sensitive information without a VA CIO approved waiver, unless it has been reviewed and approved by local management and is included in the language of the contract. If authorized to use OE IT equipment, I must ensure that the system meets all applicable 6500 Handbook requirements for OE.

(4) Not use my position of trust and access rights to exploit system controls or access information for any reason other than in the performance of the contract.

(5) Not attempt to override or disable security, technical, or management controls unless expressly permitted to do so as an explicit requirement under the contract or at the direction of the COTR or ISO. If I am allowed or required to have a local administrator account on a government-owned computer, that local administrative account does not confer me unrestricted access or use, nor the authority to bypass security or other controls except as expressly permitted by the VA CIO or CIO's designee.

(6) Contractors' use of systems, information, or sites is strictly limited to fulfill the terms of the contract. I understand no personal use is authorized. I will only use other Federal government information systems as expressly authorized by the terms of those systems. I accept that the restrictions under ethics regulations and criminal law still apply.

(7) Grant access to systems and information only to those who have an official need

(8) Protect passwords from access by other individuals.

(9) Create and change passwords in accordance with VA Handbook 6500 on systems and any devices protecting VA information as well as the rules of behavior and security settings for the particular system in question.

(10) Protect information and systems from unauthorized disclosure, use, modification, or destruction. I will only use encryption that is FIPS 140-2 validated to safeguard VA sensitive information, both safeguarding VA sensitive information in storage and in transit regarding my access to and use of any information assets or resources associated with my performance of services under the contract terms with the VA.

(11) Follow VA Handbook 6500.1, Electronic Media Sanitization to protect VA information. I will contact the COTR for policies and guidance on complying with this requirement and will follow the COTR's orders.

(12) Ensure that the COTR has previously approved VA information for public dissemination, including e-mail communications outside of the VA as appropriate. I will not make any unauthorized disclosure of any VA sensitive information through the use of any means of communication including but not limited to e-mail, instant messaging, online chat, and web bulletin boards or logs.

(13) Not host, set up, administer, or run an Internet server related to my access to and use of any information assets or resources associated with my performance of services under the contract terms with the VA unless explicitly authorized under the contract or in writing by the COTR.

(14) Protect government property from theft, destruction, or misuse. I will follow VA directives and handbooks on handling Federal government IT equipment, information, and systems. I will not take VA sensitive information from the workplace without authorization from the COTR.

(15) Only use anti-virus software, antispyware, and firewall/intrusion detection software authorized by VA. I will contact the COTR for policies and guidance on complying with this requirement and will follow the COTR's orders regarding my access to and use of any information assets or resources associated with my performance of services under the contract terms with VA.

(16) Not disable or degrade the standard anti-virus software, antispyware, and/or firewall/intrusion detection software on the computer I use to access and use information assets or resources associated with my performance of services under the contract terms with VA. I will report anti-virus, antispyware, firewall or intrusion detection software errors, or

significant alert messages to the COTR.

(17) Understand that restoration of service of any VA system is a concern of all users of the system.

(18) Complete required information security and privacy training, and complete required training for the particular systems to which I require access.

Acronyms and other terms used in this contract shall be interpreted as follows unless the context expressly requires a different construction and/or interpretation.

ARO: After Receipt of Order

CFR: Code of Federal Regulations

CGA: Compressed Gas Association

CGMP: FDA Current Good Manufacturing Practice

CBOC: Community Based Outpatient Clinic

CO: Contracting Officer

COR: Contracting Officer Representative

CS: Contract Specialist

EDI: Electronic Data Interchange

FDA: US Food & Drug Administration

GFE: Government-Furnished Equipment (Government-Owned)

HCS: Health Care System

LIN: Line Item Number

LOU: Loss of Use (missing/unreturned/damaged cylinders)

LPM: Liters Per Minute

Negative Variance: When the number of cylinders found during the cylinder audit is fewer than the rental statement indicates

NFPA: National Fire Protection Association

OO: Ordering Officer

OSHA: US Department of Labor, Occupational Safety and Health Administration

PO: Purchase Order

POC: Point of Contact

POD: Proof of Delivery

Positive Variance: When the number of cylinders found during the cylinder audit is greater than the rental statement indicates

USP: United States Pharmacopoeia/National Formulary

VA: Department of Veterans Affairs (Government)

VAMC: Veterans Affairs Medical Center

VHA: Veterans Health Administration

VISN: Veterans Integrated Service Network

Attachment A – Facility Locations

Attachment B– Schedule of Items